COURSE NOTES — BLOCK I: THE FIRM & STRATEGIC GOVERNANCE

The Firm: Types and Objectives

Official Course Sources: Lecture Slides Topic 1 (Prof. Carmen Paz-Aparicio) & Practice 1.1–1.2 (Prof. Juan Repiso) • UC3M Aerospace Engineering

1. Concept and Economic Nature of Business

A **business** is an economic activity that transforms a set of **inputs (factors of production)** into **outputs (goods and services aimed to satisfy customers' needs and wants)** [Slide 3]. The deck illustrates it with the production process of bread [Slide 4].

Inputs [Slide 3]

- **Land:** natural resources.
- **Labour**
- **Capital**
- **Entrepreneurship**

Outputs [Slide 3]

- **Goods**
- **Services**

THE CIRCULAR FLOW OF INCOME [SLIDE 5]

A simple economic model describing the reciprocal circulation of income between producers and consumers. The interaction of the market of goods and services and the market of factors determines a double flow, monetary and real, through which the economy decides what to produce, how and for whom. The two economic agents are **Households** and **Firms** [Slide 6].

- **Households [Slide 7]:** owners of the production factors (land, labour, capital, technology and know-how) and the fundamental units of consumption.
- **Firms [Slide 8, Slide 10]:** use the factors supplied by households to produce the goods and services that households demand, and collect the money households spend in the market of goods and services.
- **Factor market [Slide 9]:** households deliver inputs to firms and receive incomes (wages, rents, dividends); exchange occurs in the labour market and the stock-exchange market.
- **Real flows** are goods, services and factors; **financial flows** are their monetary compensation [Slide 11].

Nature of Business: Market and Enterprise [Slide 12]

Economics is the study of how people and a society choose to use scarce resources (factors of production) to satisfy people's unlimited wants. An enterprise arises because there is a dissatisfied need. Specialization (division of labour) requires **coordination**, which is provided either by the **market** or by the **enterprise**.

Standard reference, not on the slides: the choice between market and enterprise is usually explained by transaction costs (Coase, 1937): a firm emerges when internal coordination is cheaper than contracting on the market.

2. Business Functional Areas [Slide 13]

The deck groups business functions into three blocks and draws the cycle *Inputs - Real activity - Outputs* with the opposite financial activity (payment of inputs' acquisition, fundraising, revenues from sales, return of capital and interests).

1. Real Functions

- **Supply:** acquisition of inputs.
- **Production**
- **Marketing**
- **Other support functions:** Human Resources, Information Systems, ...

2. Financial Functions

- **Financing** (fundraising: search for financial resources).
- **Investing**

3. Management Functions

Planning, control and organization [Slide 13]. The four-stage Fayol cycle (planning, organizing, leading, controlling) is given separately on [Slide 14].

3. The Management Process [Slide 14]

The management process comprises **planning, organizing, leading and controlling** (Henri Fayol, 1841-1925, as cited on the slide). The one-line descriptions below paraphrase the four-stage cycle diagram on [Slide 14].

Stage	Description (paraphrasing the cycle diagram, [Slide 14])
Planning	Defining goals and strategies and developing plans to coordinate activities.
Organizing	Deciding which tasks are done, by whom, how they are grouped and who reports to whom.
Leading	Motivating, communicating and resolving conflicts.
Controlling	Comparing actual performance with plans and correcting deviations.

THE ROLE OF ENGINEERS IN BUSINESS MANAGEMENT [SLIDE 15]

- Effective project planning, time management and problem solving.
- Attention to detail.
- Experience in data processing.
- Computer skills and technical knowledge.

4. The Enterprise and the Entrepreneur

An **entrepreneur** is a risk taker who starts and operates a business in the hope of making a profit; **entrepreneurship** is the process of bringing land, labour and capital together and taking the risk involved in producing a good or service in the hope of making a profit [Slide 16]. The slide stresses that there is no conclusive agreement about who the entrepreneur is, mainly in big companies where owners, management directors and moneylenders share characteristics attributed to a single person.

Four views of the entrepreneur are listed [Slide 17]:

- **"Coordinator"** (no author given on the slide).
- **"Risk Taker"** (Knight, 1921).
- **"Innovator"** (Schumpeter, 1950).
- **"On alert"** (Kirzner, 1973).

Hence the entrepreneur's functions are to coordinate and control the productive process, ensure the payment of the factors of production, take risky decisions, innovate, and detect new business opportunities [Slide 17].

Internal organization = teamwork [Slide 18]

Team production requires a **controller**. The slide poses the incentive question and answers that the entrepreneur holds four rights:

1. To receive the **residual income or surplus**.
2. To control and reassign the other factors of production.
3. To be the central party in all the contracts signed with the inputs (raw materials, capital, human resources).
4. To sell the mentioned rights.

Standard reference, not on the slides: this bundle of rights corresponds to the Alchian-Demsetz (1972) team-production argument; the slide does not name the authors.

5. Types of Enterprises and Legal Forms of Ownership

Classification criteria [Slide 19]. Economic: scope of the business (one market or multi-market; national or multinational), sector (primary, secondary, tertiary) and size (big, medium, small). Legal: ownership of the factors of production (private or state-owned companies). Main forms of business ownership: sole proprietorship, partnership (general partnership, limited liability partnership, LLP) and corporation; others are cooperative associations, joint ventures, mutual companies, etc. [Slide 20].

Legal Form	Definition	Advantages	Disadvantages
Sole Proprietorship [Slide 21]	Owned by one person, who assumes all the risk, takes decisions and looks for business opportunities.	Simple to start; proprietor owns all profits; personal satisfaction; sole decision maker; no tax on the business as distinct from the owner; easy to dissolve.	Unlimited financial liability; hard to raise funds for expansion; often no one to share management responsibilities; impermanence.
Partnership [Slide 22, Slide 23]	Association of two or more persons carrying on as co-owners of a business for profit, formed by a written *partnership agreement* (name, location, type of business, sharing of profits, dissolution, etc.).	Few restrictions on starting; pooling of funds, talents and borrowing power; more chance to specialize; no tax on the business as distinct from the owners.	Unlimited and joint financial liability; potential for personal disagreements; relative impermanence; frozen investment.
Corporation [Slide 24]	Legally chartered organization, a separate legal entity apart from its owners, with most of the rights of a person.	Separate legal entity; limited financial liability; permanence; easy transfer of ownership (shares); greater financial capability.	Special and double taxation; complex and costly to form and dissolve; government regulation and public disclosure requirements.

Cooperative [Slide 27, Slide 28]

An incorporated organization whose user-members (owners) get back any revenue left after expenses are paid. Principles: open membership; owned and democratically controlled by members; benefits distributed in proportion to each member's participation; values of self-help, self-responsibility, democracy and equality; ethical values of honesty, openness, social responsibility and caring for others.

Examples: employee credit unions, agricultural co-ops, buying co-ops, consumer co-ops.

Other forms [Slide 29]

- **Limited partnership:** one or more, but not all, partners are liable for the firm's debts only to the extent of their financial investment.
- **Joint venture:** a special partnership set up by individuals or firms to accomplish a specific task or project; very important and usual in international business.

6. Separation of Ownership and Control & The Agency Problem [Slide 25, Slide 26]

Companies are managed by managers, who are employees (professionals) that take decisions and assume risks [Slide 25]. Managers may decide in their own interest, disregarding the effect on shareholders; shareholders and managers have different access to information and different objectives, and shareholders lack the information and the incentives to assess or improve management.

`THE AGENCY PROBLEM [SLIDE 25]`

Managers look for their own benefit, creating a **conflict of interest between ownership and control**: the agency problem. In large corporations the Board of Directors guides the business.

Mechanisms of Control [Slide 26]

Shareholders must be able to control managers so that they do not pursue their own benefit:

- **Selecting the Board of Directors.**
- **Contracts signed with managers** (goal-linked).
- **Requesting audits.**
- **Additional mechanisms:** indicators.

The slide also notes that shareholders owning many shares are increasingly the ones taking decisions.

Standard reference, not on the slides: the principal-agent vocabulary (shareholders as principals, managers as agents, information asymmetry) and the market for corporate control (hostile takeover threat) are textbook extensions.

CNMV Good Governance Recommendations (Spain / IBEX 35)

- **Recommendation 13 (Board Size):** The Board should have an optimal size to promote efficient functioning and maximise participation; the recommended range is between **five and fifteen members**.
- **Recommendation 15 (Executive Directors):** Executive directors should be the **minimum practical**, bearing in mind the complexity of the group and the ownership interests they control; proprietary and independent directors should form an ample majority.
- **Recommendation 16 (Proprietary Directors):** The percentage of proprietary directors out of all non-executive directors should be no greater than the proportion between the capital held by the shareholders they represent and the remainder of the capital (a ceiling, not an exact match; it may be relaxed in some cases).
- **Recommendation 17 (Independent Directors):** The number of independent directors should be at least **half of the total number of directors**; when the company is not highly capitalised, or is highly capitalised but has one or more shareholders (individually or acting in concert) controlling more than 30% of the capital, at least **one third**. (Source: CNMV *Good Governance Code of Listed Companies*, February 2015, revised June 2020.)